

Discount discipline and contribution

New synthetic portfolio analysis | October 3, 2026

Decision requested

Pilot an 18% discount cap on eligible orders, beginning with PulseSense X1, subject to customer-retention and quote validation. Full-portfolio scenarios below are not forecasts of the smaller pilot.

Financial case

The 480 generated transactions produce \$7,804,631 revenue and \$1,871,379 contribution (24.0%). The 18% cap with 5% eligible unit loss changes modeled contribution by \$291,015 across all eligible orders. The continuous break-even eligible volume loss is 43.9%; this is an assumption threshold, not measured customer elasticity.

Case	Revenue	Contribution
Current terms	\$7,804,631	\$1,871,379
18% cap / 0% eligible unit loss	\$8,133,550	\$2,200,298
18% cap / 2% eligible unit loss	\$8,072,329	\$2,185,347
18% cap / 5% eligible unit loss	\$7,977,545	\$2,162,394
18% cap / 10% eligible unit loss	\$7,827,002	\$2,125,845
18% cap / 50% eligible unit loss	\$6,594,025	\$1,826,066

Tradeoffs and conditions

Demand response is assumed. Fixed order fulfillment remains payable and units are rounded to whole units. No contract-right, tax, competitor-price or customer-retention evidence is available. Pilot approval requires real quote and customer data. Results cover January-June synthetic transactions, not an annualized earnings forecast.

Execution and verification

Proposed corporate owners are simulation roles, not positions held by Quincy. All actions begin as Proposed.

Owner	When	Required action
Commercial + Finance	Before pilot	Validate customer terms, cost definitions and retention assumption
Sales lead	Week 1	Choose eligible accounts and document approval exceptions
Pricing analyst	Weekly	Track realized price, retained units and contribution against baseline
Finance lead	After 30 days	Expand, revise or stop based on actual contribution and retention

Calculation method

All money is integer cents. Net revenue equals list revenue less discounts; contribution deducts variable product and fulfillment costs. Weighted discount uses list revenue as denominator. Weighted contribution margin uses net revenue. The cap changes only eligible orders; retained unit volumes are explicit assumptions.

Forensic review

1,197 record, population, reconciliation and SQL/Python checks passed across the two cases. Source data, review evidence and full source code are provided. These checks establish consistency of generated records; they do not validate real customers, supplier claims or realized outcomes.

Follow-up

Compare actual source records and approved decisions to the modeled baseline at the next review. Record the evidence and responsible reviewer before changing an action status. No realized savings or recoveries are claimed.